SE (SE)

The Market’s Short-Term Panic Masks a Multi-Year Growth Engine

ANALYST: JUSTIN WEN | OCTOBER 20, 2026

> SE has built a resilient platform that delivers recurring revenue, yet investors have over-reacted to a near-term earnings miss, ignoring the durable tailwinds of digital transformation and expanding subscription depth. Our analysis shows that the company’s free cash flow conversion is accelerating, its addressable market is still expanding, and the balance sheet is primed for strategic reinvestment. Consequently we assign a blended target of $129.23, representing a 59.2% upside from the current $81.16 price.

BUY	$129.23	+59.2%	$81.16
INVESTMENT RATING	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE

The market is fixated on SE’s latest quarterly miss, while the true story is a multi-year compounding of cash flow that will reward patient capital.

EXECUTIVE SUMMARY

SE operates a diversified software portfolio that spans cloud infrastructure, data analytics, and industry-specific SaaS solutions. In fiscal 2025 the company generated roughly $3.2 billion of revenue, with the cloud segment contributing 42% and the vertical SaaS lines delivering the fastest growth. Market share in the enterprise cloud arena sits near 12%, positioning SE as a credible challenger to the incumbents. The firm’s recurring revenue base now exceeds 78% of total sales, a metric that underpins pricing power and customer stickiness. A confluence of catalysts has compressed SE’s valuation multiples. The most recent earnings release highlighted a modest revenue miss, prompting a sell-off that drove the price to $81.16. At the same time, the broader software sector has seen a rotation toward value, compressing price-to-sales and EV/EBITDA ratios. This environment creates a valuation gap that our discounted cash flow model captures, especially given SE’s expanding free cash flow margin and disciplined capital allocation. Capital allocation remains disciplined. SE has returned $0.9 billion to shareholders via share repurchases, while maintaining a pipeline of strategic acquisitions aimed at bolstering its AI and cybersecurity capabilities. The balance sheet features $2.3 billion of cash and a net debt ratio of 0.4x, providing ample headroom for both organic investment and opportunistic deals. The company’s dividend policy is modest, reflecting a focus on reinvestment to sustain growth.

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OPERATIONAL SNAPSHOT

$81.16	$3.2 B	$0.75 B	23%	1.44	$81.16
REF. PRICE	LTM REVENUE	LTM FREE CASH FLOW	FCF MARGIN	EQUITY BETA	REF. CLOSE

LTM figures are Cascadia estimates grounded in the latest filings; ref. price as of 2026-10-20.

THE MOAT IS DEEP AND DEFENSIBLE

SE's moat rests on a combination of high switching costs and regulatory entrenchment. Customers integrate SE's APIs across critical business processes, creating data lock-in that makes migration costly both in time and in compliance risk. Moreover, the company's suite of industry-specific modules is certified under multiple regulatory frameworks, granting it a privileged position in sectors such as healthcare and financial services where compliance is non-negotiable. Patents further reinforce the moat. SE holds over 150 active patents covering cloud orchestration, AI-driven analytics, and secure data transmission. These intellectual property assets not only deter direct imitation but also generate licensing revenue that adds a non-operating cash flow stream. The firm's pricing power is evident in its ability to raise subscription fees by an average of 5% annually without significant churn, a testament to the perceived value of its platform. Customer retention metrics underscore the moat's durability. The net dollar retention rate has consistently exceeded 115% for the past three years, indicating that existing accounts are expanding their spend faster than the company is acquiring new logos. This organic expansion reduces reliance on costly sales cycles and amplifies the impact of each new acquisition on top-line growth. Geographic diversification also shields SE from regional downturns. Revenue is split roughly 45% North America, 30% Europe, and 25% Asia-Pacific, with each region showing double-digit growth in the last twelve months. The company's localized data centers and compliance certifications enable it to capture market share in jurisdictions that demand data sovereignty, further insulating the business from competitive encroachment.

VALUATION

Three scenarios make the valuation range explicit

Our baseline assumes a 7% compound annual revenue growth rate, a free cash flow margin that normalizes to 24%, and a terminal growth of 3% applied to the year-10 cash flow. The bear case reflects a slowdown to 3% revenue CAGR and a margin compression to 18% driven by heightened competitive pricing. The bull case envisions a 12% revenue CAGR, margin expansion to 30% as high-margin SaaS subscriptions dominate, and a 4% terminal growth reflecting a more optimistic macro environment.

SCENARIO	WEIGHT	REVENUE CAGR	TARGET FCF MARGIN	TARGET	UPSIDE
Bear	25%	3%	18%	$60.01	-26.1%

Base	50%	7%	24%	$117.05	+44.2%
Bull	25%	12%	30%	$222.82	+174.5%

Bear $60.01

A prolonged pricing war in the cloud segment, coupled with a slowdown in enterprise IT budgets, would erode margin and push revenue growth below 4%. In that environment cash conversion would fall to the low-teens, delivering the bear target.

Base $117.05

Steady expansion of the subscription platform, successful cross-sell of AI-enhanced modules, and disciplined capex would sustain a 7% revenue trajectory. Margin improvement to the mid-20s would arise from scale economies, supporting the base valuation.

Bull $222.82

Accelerated adoption of SE’s cloud-native AI suite, a series of bolt-on acquisitions that broaden the addressable market, and a favorable regulatory environment would lift revenue CAGR above 10% and push free cash flow margins toward 30%, justifying the bull target.

VALUATION FRAMEWORK

A live discount rate, not a static hurdle

We construct the discount rate using a CAPM framework that incorporates the 1.44 equity beta, a risk-free rate of 4.5%, and an equity risk premium of 6.0%. Adding a 1.5% company-specific premium yields a weighted average cost of capital of 10.00% as of 2026-10-20. This live WACC reflects the market’s pricing of SE’s systematic risk and adjusts for the firm’s evolving leverage profile. The 10% hurdle is not a ceiling but a dynamic discount factor that scales with the firm’s risk trajectory. As SE matures and its beta decays toward the peer average of 1.2, the effective cost of capital will drift lower, enhancing the present value of later cash flows. Our model therefore incorporates a beta decay schedule that reduces the discount rate by 0.2 points over the ten-year horizon.

FCF margin normalization is the engine

Historical free cash flow margins have fluctuated between 18% and 26% as the company invested heavily in data center capacity and R&D. In the base scenario we assume that capex efficiency improves, that subscription revenue replaces lower-margin professional services, and that operating leverage lifts the margin to 24% by year five. The bull scenario pushes margin to 30% through higher-margin AI subscriptions and a reduction in legacy maintenance contracts. Margin dynamics are central to valuation because they directly affect the cash available for shareholders. Our scenario analysis therefore ties each revenue CAGR to a

KEY VALUATION PARAMETERS

Revenue base year	**2026**
Forecast horizon	**10 years**
Live WACC	**10.00% (2026-10-20)**
Terminal growth	**3.0%**
Equity beta	**1.44**
Diluted shares	**1.20 B**

BUY

over $129.23 blended target

corresponding margin trajectory, ensuring internal consistency between growth and cash generation.

Mechanics are explicit

Revenue becomes EBIT, cash taxes come out, then we add back D&A and stock compensation, subtract CapEx and the change in net working capital to reach unlevered free cash flow, which we discount and divide by diluted shares.

Methodology. Detailed EBIT-bridge DCF on three scenarios, probability-weighted 25/50/25. Beta decays toward a mature peer over the forecast. Terminal value via Gordon growth. Targets are model-computed, not estimated.

BUSINESS & SEGMENT DRIVERS

Revenue prospects anchor on AI-driven automation and subscription platform expansion

BUY

The AI-driven automation suite now accounts for 28% of total revenue and is growing at a 15% annual rate, outpacing the broader market. This segment benefits from a network effect: each new customer adds data that refines the underlying models, creating a virtuous cycle of performance improvement and higher pricing power. The subscription platform, which bundles core cloud services with industry-specific add-ons, has achieved a net dollar retention of 118%, indicating that existing customers are expanding usage faster than new sales are required. Geographic expansion continues to be a catalyst. SE’s recent entry into the APAC market through a joint venture with a local data-center operator has already delivered $120 million of incremental revenue in the last twelve months, and the partnership is expected to double that figure within two years. The European footprint is similarly deepening, with compliance certifications that unlock public-sector contracts worth an estimated $300 million annually. R&D intensity remains high at 12% of revenue, reflecting the company’s commitment to staying ahead of the AI curve. Recent product launches include a low-latency edge-computing module that targets the IoT market, a segment projected to grow at 20% CAGR through 2030. These innovations are expected to generate incremental recurring revenue streams that will further lift the subscription base.

What to monitor

- **AI adoption velocity** The rate at which enterprise customers integrate SE’s AI suite will dictate margin expansion.
- **Acquisition integration** Successful assimilation of recent bolt-on deals will determine whether synergies materialize as projected.
- **Regulatory developments** Changes in data-privacy law could either create new barriers to entry for competitors or impose compliance costs on SE.

- **Capex efficiency** The ability to scale data-center capacity without disproportionate spending will affect free cash flow generation.

7.0%	23%	28%	0.4x	12%	18%
REVENUE YOY	FCF YIELD	EBITDA MARGIN	NET DEBT/EBITDA	R&D INTENSITY	CUSTOMER RETENTION

METRIC	FY2025
Revenue	$3.2 B
Gross Profit	$1.9 B
EBIT	$720 M
Net Income	$420 M
Free Cash Flow	$750 M
R&D	$384 M
ROE	14%

RISK & MOAT MATRIX

The bear case

SHARE EROSION

If SE's pricing power wanes and churn rises above 10%, the subscription base could contract, eroding earnings per share and pressuring the stock.

M&A DIGESTION

Integration missteps in recent acquisitions could lead to cost overruns and distract management from core growth initiatives.

REGULATORY AND PRICING SCRUTINY

Heightened scrutiny of cloud pricing models in Europe could force margin concessions, especially if antitrust actions target bundled offerings.

TECHNOLOGY DISRUPTION

A breakthrough in quantum-computing services from a rival could render SE's current architecture less competitive.

REINVESTMENT TREADMILL

Escalating capex requirements to maintain data-center capacity could consume free cash flow, limiting shareholder returns.

WACC AND DURATION SENSITIVITY

Rising interest rates would lift the discount rate, compressing present values and making the valuation more sensitive to near-term cash flow volatility.

The strengths

OLIGOPOLY POSITION

SE's entrenched relationships with Fortune 500 firms create a de-facto oligopoly in several verticals, limiting the ability of new entrants to gain traction.

FCF COMPOUNDING

Free cash flow has compounded at a 20% CAGR over the past three years, providing a self-reinforcing engine for share buybacks and strategic investments.

GEOGRAPHIC DURABILITY

Regulatory certifications across North America, Europe, and APAC insulate revenue streams from regional policy shocks.

PIPELINE OPTIONALITY

The AI-driven automation suite, edge-computing platform, and industry-specific SaaS modules offer multiple growth levers that can be prioritized based on market conditions.

Compelling risk-reward, skewed to the upside

Our quantitative framework demonstrates that even under a modest 3% revenue CAGR the intrinsic value remains above $60, a level that is already well-below the current market price. The base case, which we consider the most probable path, delivers a 44.2% upside and reflects a realistic blend of organic growth, margin improvement, and disciplined capital deployment. The bull case, while requiring a confluence of favorable events, offers a 174.5% upside that underscores the asymmetric upside potential. Given the depth of the moat, the strength of the balance sheet, and the clear catalysts on the horizon, we reaffirm a BUY recommendation with a blended target of $129.23, implying a 59.2% upside from today's price.

Justin Wen, Senior Equity Research Analyst, Cascadia Analytics

FRANCHISE DEEP DIVE

SE Cloud Suite: repriced on normalization

The SE Cloud Suite, the company's flagship offering, has transitioned from a growth-phase pricing model to a mature, value-based structure. Initially, the suite was sold at a discount to accelerate adoption, resulting in lower headline margins. As the customer base has matured, SE has shifted to a tiered pricing architecture that aligns fees with usage intensity and value delivered. This normalization has lifted the gross margin on the suite from 45% to 58% over the past twelve months. The suite's architecture leverages a micro-services model that enables rapid feature rollout, a capability that has become a differentiator in the competitive cloud market. Integration with the AI automation layer has further increased stickiness, as customers now rely on the suite for both infrastructure and intelligent workload orchestration. The resulting cross-sell opportunities have driven a 12% increase in average contract value per customer.

Why the growth numbers disappointed

- Revenue guidance was anchored to a conservative adoption curve that did not fully capture the upside from enterprise AI integration.

- Analysts over-estimated the impact of a pending price increase, assuming it would trigger higher churn than observed.
- Quarterly reporting lag masked the rapid uptake of the new tiered pricing model, leading to a perception of slower growth.
- Competitive pricing pressure was expected to be more severe, yet SE's differentiated compliance certifications mitigated head-to-head discounting.

Our read: Normalization and consolidation, not share loss or thesis break. SE is repositioning its pricing to reflect the true value of its platform, and the market's short-term focus on headline growth has obscured the sustainable cash-flow trajectory that will drive long-term shareholder value.

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